



The Harsh Reality of RWA Tokenization in Underserved Economies



Jay M

Web3 Researcher focused on decentralized technologies.
Sizland Co-founder



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Real-World Asset (RWA) tokenization is one of blockchain's loudly celebrated Web3 use cases and what some of us would call the “future of business.” In emerging economies, blockchain companies present tokenization as the connection between underserved communities and global capital.

RWA gives anyone with an internet connection the opportunity to own a stake in valuable real estate or productive farmland. This is quite a lucrative proposition on paper; the \$6.1 billion market cap industry's biggest sales pitches are fractional ownership, improved liquidity, and access to [financial markets](#) on the tap.

But there is one uncomfortable question that even decades of blockchain education will not answer. What exactly happens when the asset sitting behind that digital token exists inside a country where “ownership” itself is constantly disputed?

Long Before Blockchain, the Problem Was Land

A token is the digital representation of an asset; let no one convince you that it is the asset itself. If the legal and physical infrastructure protecting that underlying asset is weak, the blockchain will inherit that weakness by all means.

The ledger can prove who owns a token. It cannot force a local court to recognize it; it will not stop a corrupt land official from issuing duplicate deeds, and it shall never prevent a degenerate policymaker from rewriting ownership records during periods of political instability, if they decide to. Blockchain does not manufacture trust where none exists.

To understand why developing economies frown upon the idea of tokenization, we should take a trip down memory lane of how property-ownership businesses were before the first blockchain was ever created.

The foundation of property rights in these nations is a tragic story that greed wrote long before independence moved and mounted political borders. When [colonial administrations](#) walked into Africa, Asia, and parts of Latin America, they forcefully inherited indigenous land systems predominantly governed by communal stewardship, oral agreements, and local authority.

Those arrangements did not fit the administrative ambitions of colonial governments. So in the eyes of the colonialists, the solution was simply to replace them. Administrations built centralized land registries to formalize ownership according to European legal standards, military conquest, forceful agreements, or insinuated legislation.

The so-called paperwork determined who could farm the land, who could profit from it, and who had access to credit backed by that property. Entire communities now found themselves living on ancestral land they no longer legally owned.

After years of playing tug-of-war, countries talked or fought their way back to independence. But did the opportunity to write their own laws erase those structural problems? Looking at where we sit today, sadly not.

The new governments inherited administrative systems built for colonial priorities, not national reconciliation and anything even remotely close to communism. Some countries attempted land redistribution through negotiated settlements or buyback programs, and others left colonial structures intact. And there lies the problem.

Powerful elites rewarded allies with valuable land concessions, delayed title transfers, or manipulated ownership records to build up influence. Layers of paperwork, overlapping bureaucracies, manual record-keeping, and centralized approval processes are fertile ground for corruption. A crooked land official sees a single missing document or disputed signature; evacuations and the sale of land follow.

I understand anyone who believes blockchain is the solution, and in some way, they might be right; the ledger records ownership with mathematical precision. But its reliability all lies in the integrity of the information entering the network. If the deed uploaded onto the chain is from a registry riddled with uncertainty, the technology preserves that exact uncertainty in digital form, never to be erased.

Where Tokenization Actually Works

Once we accept that RWA tokenization is only as reliable as the legal infrastructure supporting it, then we can move on to another pain point. Where can tokenization actually work today?

The answer has very little to do with blockchain itself but everything with the quality of the country's institutional plumbing.

According to the Wall Street Journal, Sweden's Lantmäteriet began blockchain-based land registration as part of its [digital transformation](#)

[strategy](#) in July 2016. The government is using blockchain as a Plan B to an already trusted legal framework.

Dubai has followed a similar philosophy, with the city's Land Department spending years digitizing property records before blockchain was part of the conversation. The United Kingdom's HM Land Registry has modernized property administration through digital infrastructure on the back of a rigorous title verification and insurance program.

Now compare those jurisdictions with countries living under a completely different reality. Zimbabwe's land ownership disputes have stretched across decades due to political intervention, contested redistribution efforts, and recurring economic instability.

Even if every title deed were placed on a blockchain with a snap of a finger, who ultimately enforces that ownership? Cryptography cannot decide which claimant is telling the truth when the information itself is already compromised.

Why Law Matters More Than Code

Well, if there's one positive thing the blockchain community has done for RWA, it is that regulators have grown past treating tokenized assets as experimental financial products. As we've discussed earlier, governments in Europe, North America, and parts of the Middle East have already built legal frameworks for digital securities and tokenized ownership.

The European Union's regulatory frameworks, particularly the interplay between MiFID II and national electronic securities laws, provide one of the clearest examples of how to [remove tokenization](#) from the proverbial legal grey area. Since a blockchain token cannot directly own physical property, lawyers and financial engineers created legal wrappers through Special Purpose Vehicles (SPVs), trusts, and similar corporate structures to issue regulated financial instruments.

The physical asset sits inside a legally recognized entity, and ownership of that entity changes hands whenever the associated token changes ownership. The blockchain handles settlement; next, the legal system recognizes the ownership transfer.

Unfortunately, underserved economies are hell-bent on capital controls, currency preservation, and restrictions on any crypto activity. Building progressive legal frameworks for asset tokenization has never been at the top of the policy agenda. And I can't blame them; what can tokens do for residents fighting tooth and nail with inflation, corruption, sovereign debt, or unstable banking systems?

Why the Technology Still Fails

Every RWA protocol depends on the assumption that the digital record is an accurate representation of the physical reality. But first, let's set the record straight by admitting that RWA is not Bitcoin.

We've already established that the blockchain has no mechanism for determining if the information entering the network is true. Its job is preserving data exactly as submitted.

Think about a corrupt land official issuing two legitimate-looking deeds for the same property. Placing one of those deeds on-chain does not eliminate the fraud; rather, it is a permanent digital record of whichever document entered the blockchain first. Garbage in; garbage forever.

Smart contracts are incredibly good at moving digital assets between wallets but awfully bad at removing illegal occupants from farmland. No blockchain can build a fence, stop illegal construction, reverse unlawful land seizures, or physically defend private property during periods of political unrest. Digital sovereignty and physical sovereignty are two entirely different things.

In economies suffering from capital controls, foreign exchange shortages, or rapidly depreciating currencies, tokenization can't generate reliable cash flows or liquidity.

An investor may own a valuable token representing productive farmland. Turning those profits into stable purchasing power is another matter entirely. The technology works, but the surrounding financial plumbing is leaking.

The Real Opportunity for Emerging Economies

To chart a realistic path forward for underserved economies—whether across Africa, Latin America, or South Asia—we must first dismantle a persistent historical fallacy. For decades, traditional financial institutions conflated being uninformed about Western capital markets with being illiterate or uncivilized. There is a fundamental distinction between the three.

Illiteracy is strictly a technical limitation—the inability to read or write in a specific formal language system. It is not a measure of intellectual capacity or operational capability. Being uninformed simply means lacking access to specific sets of external data or foreign systems. And being uncivilized implies a lack of social, moral, or structural governance.

Underserved regions have always been civilized. Long before external systems attempted to define them, communities across Africa and the global south operated under sophisticated frameworks of communal care, ecological stewardship, and restorative justice. They were not uncivilized, nor were they illiterate in their own indigenous oral or written archives. They were simply uninformed about the specific geopolitical and financial mechanisms of the Western world—mechanisms that were designed without their input.

Over the past century, however, that information gap has vanished. A new generation of tech-native leaders, scholars, and policymakers in these economies understands global macroeconomics, trade laws, and the legacy financial system intimately. They have seen how the world operates, and from that understanding, they have recognized the true potential of blockchain.

While major global institutions quietly amass Bitcoin as a digital reserve asset, underserved economies possess the world's richest concentration of physical wealth: untapped mineral deposits, fertile arable land, and massive renewable energy capacity. RWA tokenization offers these regions a leapfrogging opportunity to monetize their native resources and achieve

sovereign economic independence, just as they leapfrogged from landline telecommunications to mobile technology.

Without Legal Trust, Tokens Mean Little

But technology alone cannot fix a broken system. A token on a blockchain is ultimately an indicator of a right; if the physical enforcement mechanism backing that right is compromised, the token loses its utility.

For RWA tokenization to truly serve emerging markets, the judiciary must be completely decoupled from political interference. If a local politician or corrupt official can unilaterally revoke a property deed, alter a land registry, or override a court order, no amount of cryptography will protect the investor or the community.

The legal system must be fortified to recognize digital smart contracts, decentralized registries, and tokenized shareholder structures as legally binding in physical courts. Once a strong legal structure exists, technology shifts from being a speculative experiment to an amplifying tool that restores order and attracts institutional capital.

Global Blueprints for Legal Alignment

To see how RWA tokenization transforms economies when paired with strong legal infrastructure, we can look to jurisdictions that have already built the blueprint:

- **Switzerland (The Statutory Legal Framework):** Rather than forcing crypto into outdated laws, Switzerland passed the Distributed Ledger Technology (DLT) Act. This framework legally created a new class of rights called "[ledger-based securities](#)." Under Swiss law, a token on a blockchain is recognized directly by the federal courts as an enforceable asset, removing the guesswork for investors.
- **Dubai (Direct Registry Linking):** Dubai's Land Department (DLD) and the Virtual Assets Regulatory Authority (VARA) took a different approach by integrating blockchain directly into [government administration](#). Instead of relying on legal wrappers or SPVs, Dubai's real estate tokenization project links digital tokens directly to the property title registry. Ownership transfers on-chain are recognized by the state as true legal transformations of ownership representation.
- **Singapore (Institutional Commercial Alignment):** Through initiatives like [Project Guardian](#), Singapore collaborated with commercial banks to tokenize traditional financial assets and debt. By applying a clear rule of "same activity, same risk, same regulatory outcome," they proved that tokenized instruments can offer real-time settlement while adhering to established commercial financial law.

The Future Begins With Institutions

Real-world asset tokenization cannot succeed simply because the underlying technology is elegant. It succeeds when legal systems, financial institutions, and physical enforcement mechanisms move in the same direction.

We will not help the future of tokenization in underserved economies by adding broken government records onto immutable ledgers and hoping technology fixes the rest. The true path forward requires honoring the deep-rooted heritage of these regions, fortifying judicial independence,

and plugging robust technology directly into unshakeable legal frameworks. Blockchain was never supposed to replace every institution; it is there to amplify them once they are built to last.

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